

Appraisal Report - Industrial Distribution Facility

1200 Harbor Way, Everett, Massachusetts 02149 | Prepared for Acme Bank | Effective date August 4, 2026 | Meridian Valuation Group

1. Summary of Salient Facts

Item	Finding
Property type	Single-tenant industrial distribution facility, 118,000 square feet on 9.2 acres
Intended use	Mortgage lending; owner-occupied acquisition financing
Interest appraised	Fee simple, as-is
Highest and best use	Continued use as a distribution facility
Borrower-stated value	\$6,000,000 (broker opinion of value, March 2024; not an appraisal)
Appraised value, as-is	\$5,650,000
Proposed loan amount	\$4,800,000
Loan-to-value at appraised value	85%

2. Valuation Approaches

Approach	Indicated value	Weight
Sales comparison (five improved sales, 2024-2026)	\$5,600,000	Primary
Income capitalization (market rent \$9.10 per square foot, 7.25% cap rate)	\$5,700,000	Secondary
Cost approach (replacement cost less depreciation plus land)	\$5,900,000	Support only
Reconciled as-is market value	\$5,650,000	

3. Reconciliation

The 2024 broker opinion relied on two sales that have since re-traded at lower prices and assumed a cap rate of 6.50%. Current market evidence supports 7.25%. The reconciled value places most weight on the sales comparison approach, supported by the income approach.

4. Personal Property

Furniture, fixtures, equipment, racking, and conveyors are personal property and are excluded from the real property value stated in this report. No value is assigned to them. Any lender wishing to rely on personal property as collateral should obtain a separate equipment appraisal.

5. Certification

The appraiser certifies that the statements of fact are true, the analyses are limited only by the stated assumptions, and the appraiser has no present or prospective interest in the property. Signed: /s/ T. Okonkwo, MAI, Massachusetts Certified General Real Estate Appraiser.

This synthetic appraisal report is designed for loan origination demonstrations. Names, addresses, amounts, and terms are fictional and are not financial or legal advice.